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Education at Your Doorstep

MACRO ECONOMICS

CHAPTER # 1 NATIONAL INCOME

National Income:
"The national income of country during a given period of time usually one year, signifies the net monetary value of the output, consisting of goods and services produced. Generally speaking it is the aggregate or sum of income of all factors of production of a country."

CONCEPTS OF NATIONAL INCOME

Following are the various concepts with which national income is looked upon.

1. Gross Domestic Product: (G.D.P):
Gross domestic product is defined as:
"The total market value of all final goods and services produced with the help of factor of production during one year in any country."

Mean the output produced within Pakistan by Pakistani's and foreign firms by using country's resources. "Gross" means that depreciation of capital is not subtracted out of GDP.

GDP = GNP – Net factor income from abroad

2. Gross National Product (G.N.P):
Gross national product is defined as:
"The total market value of all final goods and services produced with the help of national factors of production of any country inside or outside the country during one year."

For example profits of Pakistani citizen owned factories/business operating in Dubai, U.K, or Africa when sent to Pakistan will be included in the GNP of Pakistan.

GNP = GDP – Net factor income from abroad

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3. Net National Product or National Income At Market Price (N.N.P):
NNP can be calculated by deducting depreciation on capital during the year.

When charges of depreciation are deducted from GNP, we get net national product. It means the market value of all final goods and services after providing depreciation. It is also called National Income at Market Price.

NNP = GNP – Depreciation on capital

4. National Income Or National Income At Factor Cost (N.I):
National income at factor cost means the sum of all income earned by factors of production that is land, labor, capital and organization. The difference between national income at factor cost and NNP arises from the fact that indirect taxes and subsidies cause market price of output to be different from the factor incomes resulting from it.

National Income = NNP – Indirect Taxes + Subsidies

5. Personal Income (P.I)
"National income is that income which is actually received by all individuals living in an economy during a period of one year from all possible resources."

Personal income included all income received whether earned or unearned.

It can be written as:

Personal Income = National Income – Social Security Contribution – Cooperate Income Taxes – Undistributed Corporate Profits + Transfer Payments

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6. Disposable Personal Income (D.P.I):

After a good part of personal income is paid to government in the form of direct taxes or personal taxes like income tax, personal property taxes etc., what remains from personal income is called disposable personal income.

Disposable Personal Income = Personal Income – Personal/Direct taxes

MEASUREMENT OF NATIONAL INCOME

To calculate or measure national income the following three methods are generally used:

1. Output or Production Method
2. Income Method
3. Expenditure or Outlay Method

1. Net Output Or Production Method:

For calculating national income under this method the net output or the production of various commodities is estimated and evaluated at the market prices. For this purpose we take two steps:

Firstly we estimate the monetary value of all goods that are produced internally. The production or output of different sections of the economy i.e. agricultural, manufacturing, trade, commerce, transport etc is analyzed after deducting the depreciation charges.

Secondly; we consider the foreign business transactions that were performed during the financial year. In this regards we only consider the difference between exports and imports. These two aggregate are then summoned up to get the gross domestic product which in turn is deducted from the total revenue earned to arrive at national income.

The production method is the most direct method for calculating national income. It's equation can be written as:

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National Income = G.N.P – Depreciation on Capitals – Indirect Taxes + Subsidies + Exports – Imports

PRECATIONS:

• ***Avoid Double Counting:***
Double counting should be avoided while calculating national income, because if it is done the value of goods will be counted twice. So national income will be overestimated.

• ***Depreciation Allowance:***
While calculating national income, depreciation on capitals should be deducted.

• ***Self Used Product:***
Goods which are used by the person who produce for himself are not included in national income. For example, shoes by cobblers, furniture by carpenter etc.

2. Income Method:
"According to this method national income is definable as the total of factor warnings (wages, interest, rent, profit) that are the cost of factor of production of society final goods."

Under this method the national income is estimated by summing up income that arrives factor of production provided by the national residents. This the rate at which the national factor is distributed among the various factors of production is estimated. This method of calculating national income is quite complex.

Equation wise the method can represent national income as:

National Income = Rental Income + Wages + Interest + Profit

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PRECAUTIONS:

- ***Double Counting Must Be Avoided:***

Transfer payments like pension, gifts, zakat are not included. Price received from sale of old house is also not included in national income because these payments already calculated in different times.

- ***Illegal Earning:***

Income through illegal activities should not be included in national income like smuggling or gambling.

3. Expenditure Or Out Lay Method:

The expenditure approach is the most popular national output accounting method. It focuses on finding the total output of a nation by finding the total amount of money spent. This too is acceptable because like income, the total value of all goods is equal to the total amount of money spent on goods. The basic formula for domestic output is to combines all different areas in which money is spent within the region, and then combining them to find the total output.

GDP= C + I + G + (X – M)

Where:

C = Household consumption expenditure

I = Gross private domestic investment

G = Government consumption

X= Gross exports of goods and services

M = Gross imports of goods and services

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PRECAUTIONS:

- Only final expenditure must be taken into account, initial expenditure are not included.
- Government's spending on transfer payments (pension, old age benefits etc.) must be excluded.
- International transactions must be adjusted, means received from export should be included and payment for import excluded.

DIFFICULTIES IN MEASURING OR CALCULATING NATIONAL INCOME

Some of the problem or the difficulties that are usually faced while calculating national income are as follows:

1. Non-Monetized Transaction:

Non-monetized transactions are those transactions, the value of which cannot be measured. For example the values of the services of housewives which they rendered to their families are exculeded at the time of computation of national income.

2. Calculation of Depreciation:

Another problem is the calculation of depreciation. The main reason behind it is that both the amount and the composition of jour capital change from time to time. There are no standard or concept rules of depreciation that can be applied. Since depreciation is an estimate so correct deduction can be made until and unless these accurate depreciation estimates are not deducted from the estimate of net national product the net national income is bound to wrong

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3. Treatment of the Government:

Government expenditures:

1. Defense and administration expenditure.

2. Social welfare expenditure.

3. Payment of interest on national debts

4. Miscellaneous development expenditure.

The real problem that is faced relates to which of the above should be included in the national income.

4. Income from Foreign Firms:

One of the major problem relates to the fact that weather the income arising from the activities of the foreign firms operating in a country should be included in the countries national income or not .With the growing trend of doing business globally has increased this problem to a great extant. However the I.M.F has given the viewpoint that the production and income of these foreign forms should go to the owning country while there profit must be credited to the parent concern.

5. Danger of Double Counting:

Proper care is required for calculating national income so that double counting may not take place. This problem usually arises in those countries where proper documentation or statistics are not available.

6. Value of Inventories:

Since it is not easy to calculate the value of raw materials, semi finished and finished goods in the custody of producers therefore it creates problems.

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IMPORTANCE OF NATIONAL INCOME COMPUTATION IN MODERN ECONOMIC ANALYSIS

The computation of national income is one of the very important statistics for a country. IT has several important uses and therefore there is a great need for there regular preparation. The following are some of the important uses of national income statistics:

Comparison between economies of the world:
With the help of national income estimates of various countries of the world we can compare the standards of living and the level of economic welfare of the people living in those countries.

Level of Economic Welfare:
The national income estimate reveals the overall performance of the country during a given financial year. With the help of this statistics the per capita income i.e. the income earned by every individual is calculated. It is obtained by dividing the total national income by the total population. With this we come to the level of economic welfare in terms of its standard of living.

Rate of Economic Growth:
With the help of national income statistics we can know weather the economy is growing or declining. In simple words it helps us to know the conditions of a country economy. If the national income is growing over a period of year it means that the economy is growing and if the national income has reduced as compares to the previous it reveals that the economy is detraining. Similarly the growing per capita income shows an increasing standard o living of the people which are a positive sign of a nations growth and vice versa.

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Distribution of Wealth:
One of the most important objectives that is achieved after calculating national income is to check its distribution among different categories of income such as wages, profits, rents and interest. It helps to understand that how well the income is distributed among the various factors of the economy and their distribution among the people as well.

Ease in Planning:
Since the national income estimates also contain the figures of saving, consumption and investment in the economy so it proves to be a valuable guide to economic policy relating to planning and active government intervention in the economy. The estimates are used as a data for future planning also.

Formation of Budget:
Budget is an effective tool for planning and control. It is prepared in the light of the information regarding consumption, saving, and investment which are all provided by the national income estimates. Further we can asses and evaluate the achievements or otherwise of the development targets laid down in the plans from the changes in national income and its various components.

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MONEY:

Money has been defined in various ways. Some says,

"Money is what money does"

In other words,

"Anything that perfumes the functions of money is money".

In the widest sense, the terms "money" includes all media of exchange gold, silver, copper, paper, cheque, commercial bills of exchange etc.

FUNCTIONS OF MONEY

Functions of money can be classified in primary functions and secondary functions.

PRIMARY FUNCTIONS OR STATIC FUNCTIONS OF MONEY

1. Money As Medium Of Exchange:

The most important function of money is to serve as a medium of exchange. As a medium of exchange, money removes all the difficulties of batter. There is no necessity for a double coincidence of wants in a money economy. Money units are of all denominations and it is easy to make functional purchases, which is not possible under most cases of batter.

2. Money Acts As A Standard Of Deferred Payments:

In the modern business world, credit plays a very useful role in expansion of trade activity. Goods and services are bought and sold on the promise to pay money on a certain date of future. During periods of Inflation, people may accept paper money for immediate payment, but insist on same other medium, such as real goods and services or gold, for deferred payment, because the medium of exchange would lose much of its value in the meanwhile.

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3. Money Acts As A Store Of Value:

Another important basic function of the money is the store of value. Under barter system,. Goods and animals etc., could not be stored for a longer period. Money has solved this problem. Now, these things can easily be stored by way of selling them and storing their value.

4. Money As A Measure Of A Value:

Money is used as a measure of value in the sense that the value of every thing is demanded in terms of money. As a measure of value money not only facilitates business transactions but is also useful transacting the sale and purchase if immovable properties buying at distant places. Money as a measure of value is also helpful in asserting the financial worth or stability of a business unit or an industrial concern which is possible from the study of their balance sheets containing the value of their assets and liabilities in terms of money. In simple words we can say that function of money as a measure of value helps us almost in every aspect of our daily life.

5. Money As A Means Of Transferring Value:

There is also another function which money performs. One can sell one's immovable and movable belongings at one place and with they money so acquired he can buy them elsewhere. Value will this be transferred.

SECONDARY FUNCTIONS OR DYNAMIC FUNCTIONS OF MONEY

The secondary or dynamic functions of are those by which money influences the working of the economy by influences price level, level of consumption, volume of production and distribution of wealth in the economy. The dynamic functions thus determine the economic trends. It is well-known that there is a close, connection between money supply with the public and the general price level in the country. Dynamic functions have assumed great importance in modern times as is evident from the monetary policy perused by modern government.

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TYPES OF MONEY

Generally the classification of money is based on the material that is being used for the purpose. According to the material used, the money can be classified as:

1. Metallic Money:

The currency in use or to be used when is made of some metal; it is known as metallic money. The metallic money usually consist of coins made up of gold, silver, copper, bronze etc. a characteristic of these coins is that they are properly shaped and stamped by the central issuing authority to prevent any misuse. In today's modern age of business the coins are Marley used and issued. The metallic money is further classified as:

Classification of Metallic Money

- ***Full Bodied Coin:***

Full bodied coin is the one, the face value of which is equal to the quantity of metal used in it. In this case the face value of the coins is equal to its intrinsic value.

- ***Token Coins:***

A token coin or money is the one whose face value is higher than the value of the metal contained in it. It is usually as a subsidiary unit or coin. In token coin the face value is higher than the intrinsic value.

2. Paper Money:

Paper currency refers to the currency notes issued or used in a country. These notes are made up of special kind of paper. Paper currency also includes notes (promissory) and cheques but they circulate as money only in the countries where they are used freely for settling business transactions such as U.S.A and U.K.

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In early times when notes were introduced they were backed by an exactly equal amount in gold or silver kept by the issuing authority. Paper money is not wholly backed by some precious metal now. Only proportionate reserves are maintained and a good deal of the paper money rests on people of people's confidence in the word of issuing authority generally the government or the central bank. Such a currency is also called fiduciary issue.

Classification of Paper Money

Paper money may be of following types

- *Representative Paper Money:*

When the paper money is backed by an exactly equal amount of in gold or silver kept in reserve by the issuing authority it is known as representative money. Such notes could be exchanged for coins when needed and did nothing more then to represent coins.

- *Convertible Paper Money:*

The currency notes which can be exchanged for full bodied or standard coins is called convertible money. Its value is backed by a proportionate reserve of some precious metal and the confidence in the word of eh issuing authority. It is also called fiduciary money.

- *Inconvertible Paper Money:*

The currency notes that cannot be converted in full-bodied coins. The issuing authority gives no promise for its conversion. It can also be called fiat money.

Advantages of Paper Money

Following are some advantages of the paper money

- *Economical:*

Currency notes are cheapest media of exchange. Paper money practically costs nothing to the government. It does not need to spend anything on the purchase of gold for minting coins. Certain other expenditure or losses associated with metallic coins are also avoided.

• *Convenient:*

Paper money is the most convenient mean of money. A large amount can be carried conveniently in the pocket with out any body knowing about it. It possessed in very large measure the quality of portability, which a money material should have.

• *Homogenous:*

Among the coins there are good and bad coins. But currency notes are all exactly similar. It is therefore the substitute medium of exchange.

• *Stability:*

The value of money can be kept stable by properly regulating its issue. Managed proper currency method is therefore adopted by many countries.

• *Cheap Remittance:*

Money in the form of currency notes can be cheaply remitted from one place to another in an insured cover.

• *Elasticity:*

Paper money is absolutely elastic. Its quantity can be increased or decreased at the will of the currency authority. Thus paper money can better meet the requirements of trade and industry.

• *Advantages to the Banks:*

Paper money is of great advantage to the banks. They can keep their cash reserves against liabilities in this form, for currency notes are full legal tender.

Disadvantages of Paper Money

Its disadvantages are as follows

• *No Value Outside the Country:*

Paper money is of no value outside the country where it is issued. Gold and silver coins were accepted even by foreigners as they had no intrinsic value.

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- *Risk of Damage:*

There is always a possibility of damage to the paper. Fire may burn it, water may tear it etc.

- *Danger of Over Issue:*

A serious drawback in paper currency is the ease with which it can be issued. There is always a danger of its over issue when the government is in financial difficulties. Once this course is adapted the momentum leads to further notes printing until it losses all the value. This over issue of notes is called over inflation.

- *Price Increase*

Some times especially when the money loses its value there is always an increase in the price of goods. As a result, labors and other people with fixed income suffer greatly. The whole public feels the pinch.

- *Effect on Business*

During the days of monetary stringencies in a monetary economy, the business activities are affected very badly. The indirect result of price increase, shortage of currency etc, result in a fall of exports and a rise in imports. It leads to the export of gold from the country, which is not a desirable thing. Its balance of payments gets unfavorable.

3. Bank or Credit Money

Bank money consists of demand deposit, which is drawn by cheques. A deposit is like any other medium of exchange and being payable, on demand; serves as a standard of value or unit of an account as it is convertible into standard of value i.e. money or crash at fixed terms. In the words of J.M. Keynes:

"Bank money is simply an acknowledgment of a private debt expressed in the money of account which is used by passing from one hand to another as an alternative of money to settle transactions."

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VALUE OF MONEY

The value of money refers to the purchasing power of one unit of money in terms of goods and services. It indicates the quantity of goods and services that can be had in exchange of one unit of money. If the value of money is studied in relation to the home market, it is called internal value as against external value, which gives the value of money in terms of foreign currency.

Value of Money and Price Level

The price level of a country refers to the value of goods and services in terms of money. It means that value of money is expressed in terms of money. As for example, one unit of money supposes fetches 3 seers of wheat and value of 3 seers of wheat is one unit of money. Suppose the value of money rises and its one unit now fetches 5 seers of wheat. It means that the value of wheat has come down and now 5 seers of wheat will fetch one unit of money, which previously only did 3 seers.

From the above example it is evident that value of money is followed by the fall in price level and vice versa. In other words rise in price level makes the value of money fall and the same quantity of money can be had with more units of money. The above fact can also be interpreted as an increase in the quantity of money brings a corresponding fall in the value of money and the fluctuations in the value of money occurs due to a change in the quantity of money. This relationship between value of money and its quantity is explained by quantity theory of money.

QUANTITY THEORY OF MONEY

General Definition:

"The quantity theory of money is they preposition that in the long run, an increase in the quantity of money brings an equal percentage increase in the price level."

The quantity theory of money was firstly presented by ***Irwing Fisher*** in 1911, in his book "Purchasing Power Of Money".

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According to Fisher:

"Other things remaining the same, value of money falls in roportion to increase in quanity of money circulation."

Simply; the price level is directly proportion to quantity supplied of money, while the value of money is inversely proportion to quantity supplied of money.

The original basis of quantity theory of money is a concept known as the velocity of circulation. Irwing Fisher explained the relationship the quantity theory of money and the value of money in the form of an equation, which is known as "Equation Of Exchange".

$$PT = MV + M'V'$$

Or

$$P = \frac{MV + M'V'}{T}$$

CRITICISM:

Fisher's theory has been widely criticized by other economist.

1. The very assumption in the theory that other things remaining same are incorrect. Fisher assumed money as independent variable where as credit (M') is a function of business activity i.e. the turnover. It means the turnover increases, the supply of bank or credit also increases and consequently money is not an independent variable.

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2. Velocity of money and bank money has been assumed is assumed in this theory to be constant where as they are not so because they depend upon business activity which is never constant.

3. The theory fails to explain as to why during depression the increase in supply of money does not bring a corresponding increase in the price level.

4. According to quantity theory high price is the effect of increase in supply of money which is not always true. Scarcity of goods caused by a fall in production or increase in production with respect to an increase in population also raises the price level.

5. It is argued that Fisher's equation is only valid in a static economy. The economy becomes static beyond full employment level because the physical production does not increase in such a situation. the extra money if introduced in such a stage of economy is not absorbed by increased quantity of output and consequently the price level is directly affected. This shows that Fisher equation in a dynamic economy is of no use.

BARTER SYSTEM

Barter economy means the exchange of commodities. It consists of a bargain of commodity with the other without the help of another of exchange, such as money. Therefore we can say that buying goods against goods is called barter system.

DEFECTS OF BARTER SYSTEM

Following are some of the difficulties of the barter system.

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1. Double Coincidence Of Wants:
Barter requires a double coincidence of wants. If a person for instance has wheat and wants to exchange it with cotton, he has to find a person possessing cotton and requiring wheat. It was possible only when the people lived in small areas and their wants were too limited.

2. Lack Of Common Measures:
There was no fixed measure in which two things could be exchanged. It means everyone did not derive complete satisfaction out of his deal. The ratios of exchange were fixed accordingly to the necessities and demands of the parties. One party had to suffer under these conditions were each transaction is an isolated transaction.

3. Lack Of Divisibility:
Another great disadvantage of barter system was the lack of divisibility. Suppose a man possess horse and requires wheat and cotton in exchange but both of these commodities may not be obtained from one man. One person may have wheat another has rice in surplus and both of them want to exchange their commodities with the horse. Now the horse cannot be divided and hence the transaction may not be completed.

4. Lack Of Store Of Value:
Under the barter system wealth consisted of non-durable goods, which are quickly perished with the passage of time. There value may not be stored for long period. Hence no body could think of storing something to provide against future.

5. Inconvenient Media Of Exchange:
Commodities like little wheat or other things alike cannot be easily transported and thus have little value. Therefore under barter system the mediums of exchange were really inconvenient.

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PUBLIC FINANCE:

It is a branch of economics which deals with income and expenditure of government of a country. The function of public authorities are simply revenue raising and revenue spending for covering the cost of administration and defense in the days of early economists. But modern states have to perfume various functions to promote the welfare of the people. Therefore, the public includes the study of financial administration as well as of financial control.

According to Professor Bastable:

"Public finance is a branch of eonimcs which deals with income and expenditure of public authorities or the state and their mutual relation as also with the financial administration and control."

DIFFERENTIATE BETWEEN PRIVATE AND PUBLIC FINANCE

These are the difference between the private and public finance.

1. Adjustment Of Income And Expenditure:

A government first prepares an estimate of expenditure and then means to raise that sum and the individual must adjust his expenditure to his income.

2. Budgeting:

The unit for the public budget is one year but an individual needs not balance his budget during a given period.

3. Deficit Financing:

Deficit financing is a peculiar privilege of government but an individual can not do it, unless he is prepared to go behind the bars.

4. Different Objectives:

An individual tries to maximize his satisfaction or profit from a given amount of resources but the objective of government expenditure is to maximize social benefit.

5. Publicity Of Finance:

Budgets are published and the widest publicity is given to them. On the other hand, the secrecy surrounds individual finance.

WHAT IS TAX?

The compulsory payment by individual and companies to the state is called taxation. A government imposes taxes to raise revenue to cover the cost of administration, the maintaince of law and order, defense, education, housing, health, pensions, family allowances etc. Now, the government has started to subsidize farming, industries, etc. In all these cases, taxes are imposed to provide revenue to cover government expenditure.

Some taxes are imposed for social and economic purpose e.g. the highest rates are imposed for the purpose of reducing very large incomes. Taxation has often been increased in order to reduce purchasing power to check the demand or has been reduced to stimulate demand.

CANNON OF TAXATION

Adam Smith's Cannon Of Taxation:

Adam Smith has aid down principles or cannon of taxation in his book "Wealth and Nations". These cannons still constitute the foundation of all discussion on the principles of taxation.

1. Cannon Of Equality:

It is most important cannon of taxation which embodies the principle of equality or justice. It provides the concepts of the equality of sacrifice. The amount of the tax paid is to be in portion to the respective abilities of the tax payers. It is not very unreasonable that the rich should contribute to the public expense not only in proportion to their revenue but something more than that proportion.

2. Cannon Of Certainly:
The tax paid by each individual should be certain but not arbitrary. The time of payment, the manner of payment, the quantity to pay, should all to be clear and plain to the contributor.

3. Cannon Of Economy:
Compliance and administration of a tax should be minimal in terms of cost.

4. Cannon Of Convenience:
A tax that can be readily and easily assessed, collected, and administered.

5. Cannon Of Achievement Of Social And Economic Effects:
The use of taxes to reallocate resources to achieve various specific social and economic objectives.

DIRECT TAXES

Tax is said to be a direct when the impact and incidents of a tax are on one and the same person. That is when a person on whom tax is levied is the same who finally bears burden of tax. He cannot shift its burden to some other person.

Merits Of Direct Tax:

1. Equitable:
Direct taxes are impose that a progressive rate. Therefore, these are more equitable. The richer has to pay more as compare to the poorer.

2. Economical:
The cost of collection of direct taxes is small. There is no intermediary between the tax payer and the state. Therefore, these taxes are economical.

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3. Certain:
The direct taxes are calculated with the fair degree of precision. The tax payer is certain of the amount that he has to pay while government is also certain about its revenues.

4. Elastic:
Direct taxes have a high degree of elasticity. There rate can be change according to the needs of the country.

Demerits Of Direct Tax:

1. Inconvenient:
The direct tax is paid in a lump sum which is difficult to pay a a time. Therefore, direct taxes are very inconvenient to pay.

2. Unpopular:
To part with money is not an easy thing for a tax payer. Therefore, taxes are very unpopular.

3. Arbitrary:
The rates of taxes are not determined on any specific principle but the rate of taxes is fixed arbitary by the government.

INDIRECT TAXES

If impact of tax falls on one person and incidents on another, tax is called indirect tax e.g. sales tax excise duty etc.

Merits Of Indirect Tax:

1. Convenient:
People pay these taxes when they buy a commodity and they buy a commodity at a time when they can afford.

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2. Equitable:

The luxuries are generally taxed at a higher rate as compared to basic necessities. Therefore indirect taxes are made more equitable bye imposing on articles consumed by the rich.

3. No Evasion:

The indirect tax is mixed up with the price of the commodity which is purchased by the people. Therefore, it is difficult to evade an indirect tax.

4. Elastic:

Indirect taxes can be varied according to the needs of the state. These are imposed on necessaries of life for which the demand is in-elastic.

Demerits Of Indirect Tax:

1. Uncertain:

The state cannot correctly estimate as to how much money it will receive from a tax. Further imposition of a tax will increase price of a commodity which will lead to fall in its demand.

2. Regressive:

Indirect taxes are regressive. Every consumer of a taxes commodity, rich or poor pays the fax at the same rate. The real burden of the tax on the poor is greater than on the rich.

3. No Civic Consciousness:

No body feels that he is paying a tax as it is concealed in price. Therefore, no civic consciousness can be developed in the tax-payer.

PROPORTIONAL TAXES

The proportional taxes as introduced by the classical economists while discussing the thory of ability to pay. It is a type of tax in which, the same rate or same percentage is charged from all tax payers whatever the size of their income may be.

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Merits Of Proportional Tax:

1. Simple:
The proportional tax is a very simple kind of taxation.

2. Equitable:
The proportional tax is an equitable method of revenue rising to the state.

3. No Discouragement Of Entrepreneur:
The entrepreneur is not discouraged because there savings and investment are partially effected due o a fixed tax rate.

4. Certain:
It is imposed on all the tax payers in accordance with the cannon of certainty. Therefore the government certainly knows the amount os this tax.

Demerits Of Proportional Tax:

1. Unjust:
It will be more unjust that a rich and poor are taxed at the same rate without considering their ability to pay.

2. Inequitable:
It is inequitable due to the same burden of tax payment for all the tax payers. It is against the cannon of equality.

3. Inelastic Tax:
The government is unable to increase or decrease the rate tax during cyclical fluctuations of business.

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REGRESSIVE TAX

A tax which falls more heavily on people with low income than on those with high incomes, consumption of some commodities depends on the size of the family than on income. The total revenue requires by a modern state is so great that it cannot all be provided from direct or income tax. It is opposite of progressive tax.

Merits Of Regressive Tax:

1. Convenient:
These taxes are paid in the shape of price of commodities. People pay these taxes when they buy commodities.

2. Increase In Investment:
The poor section of the economy bears the burden of these taxes. The aggregate demand increases, which encourages the more investment.

3. No Evasion:
The poor section of the economy is not in a position to evade these taxes.

Demerits Of Regressive Tax:

1. All Taxes Are Not Regressive:
All indirect taxes are not regressive in nature. Many expensive article, that are taxed being mang expensive articles that are taxed being beyond the means of people in the lower income group.

2. In Justice:
The tax burden decreases with increase of income. The incident of tax is greater on poor that on the rich. Therefore it is unjust method of taxation.

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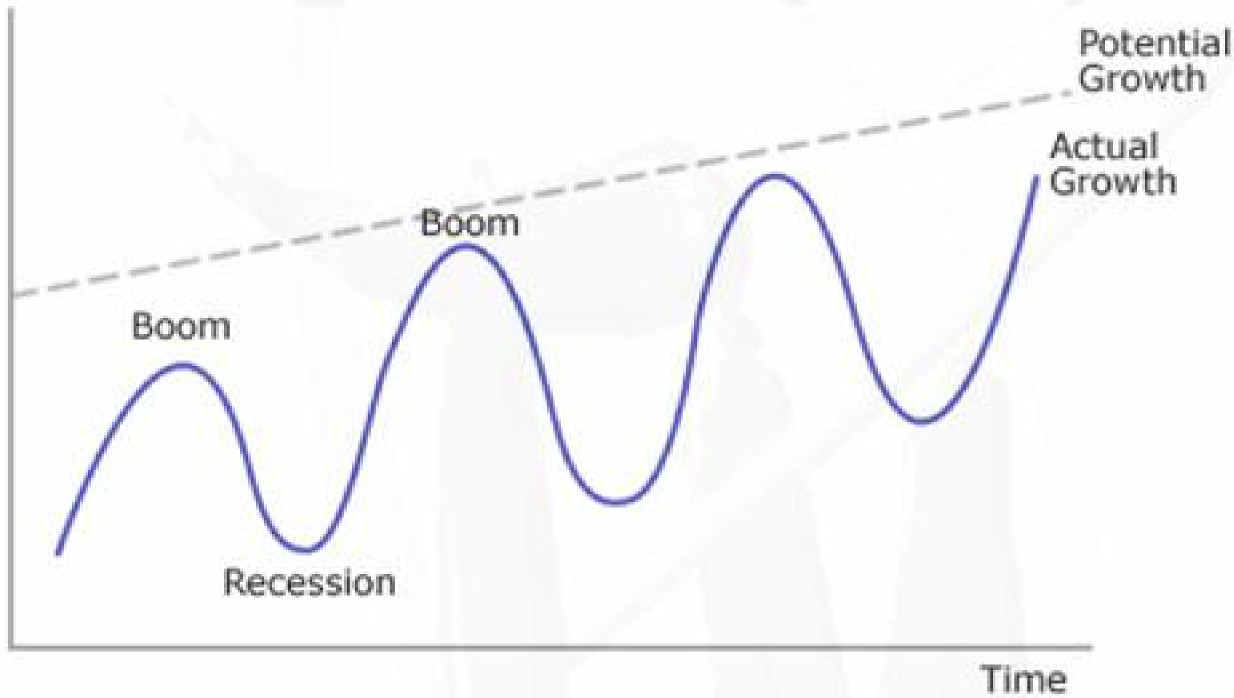
TRADE CYCLE

Trade cycle refer to regular fluctuations in the level of national income. It is a well-observed economic phenomenon, though it often occurs on a generally upward growth path and has a variable time span, typically of three years.



Phases Of Trade Cycle:

Typically economists divide business cycle into two main phases- depression and recovery. Boom and slump mark is the turning points of the cycles.

1. Depression:

In this phase, the whole economy is in depression and the business is at the lowest ebb. The general purchasing power of the community is very low. The productive activity, both In the production of consumer and the production of capital goods, is at a very low level. Business settles down at a new equilibrium point with a low level of prices, costs and profits. It may last for a number of years.

2. Recovery:

This phase is also known as "expansion". The depression period of trade cycle ends in the recovery period. The economic situation has now become favorable. Money is cheap and so are the other materials and the factors of production. Productive activity has been increased. The entrepreneurs have now sufficient financial backing. Constructional and allied industries are receiving orders and employing more workers. Thus creating more income and employment. This stimulates further investment and production. The whole economy is moving faster towards the boom.

3. Boom:

Boom or peak is the turning point of the trade cycle. It is the highest point of the economic recovery. The typical features of boom are as follows:

i. A large number of production and trade.

ii. A high level of employment and job opportunities in sufficient amount to permit a good deal of labor mobility.

iii. Overall rising prices.

iv. A rising structure of interest rates, so that a bullish tendency rules stock exchanges.

v. A large expansion of credit and borrowing.

vi. High level of investment, i.e., manufacturing of machinery.

vii. A rise in wages and profits so that the community's income rises.

viii. Operation of the economy at optimum capacity.

4. Recession:

It is a sharp slow down in economic activity, but it is different from depression or slump which is more sever and prolonged downturn.

CHAPTER 4 – INTERNATIONAL TRADE

ADVANTAGES OF INTERNATIONAL TRADE

1. A country can import the goods, which it cannot produce of its own.
2. In emergencies such as famine, floods, required goods could be imported.
3. It helps in development of culture and civilization among trading countries.
4. Each country has its own interest, therefore peace and security promotes.
5. Extension of demand in trading countries, results in large-scale production.

DISADVANTAGES OF INTERNATIONAL TRADE

1. It results in international dependence, which is harmful in times of war.
2. It may be harmful for development of domestic trade if natural resources are freely exported without any planning.
3. Import of wine and intoxicants may destroy the health of the people.
4. It may create jealousy among various countries for trade and results in war.
5. It results in the specialization in few industries only, which may reduce the job opportunities.

BALANCE OF TRADE

The balance of trade refers to only to the merchandise or balance on visible transactions alone. In short, it is the difference between the values of exports and imports of physical goods of a country during a given period of time. If the values of (visible items) exports exceed the value of imports of visible items, it is said to the surplus or favorable balance of trade. The increased imports of machinery, equipments, raw material and oil prices have caused imports to grow faster. Causes of unfavorable balance of trade are included in the cause of adverse balance of payments because of payments refers to the sum of both the balance on visible as well as invisible items.

BALANCE OF PAYMENTS

Balance of payments expresses the total of all economic transaction between two nations for a period of one year. Each country's balance of payments summarizes information about that country's export, imports, earning, domestic residents on assets located abroad, earnings by central banks and government.

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CHAPTER 4 – INTERNATIONAL TRADE

In short balance of payment is a record of all transactions between households, firms and government of one country and the rest of the world. Any transaction that leads to a payment by a country's residents or government is a deficit item identified by a negative sign, any transactions that lead to a receipt by a country's residents or government is a surplus item and is identified by a plus sign.

DIFFERENCE BETWEEN BALANCE OF TRADE AND BALANCE OF PAYMENTS

Balance of trade is defined as the difference between value of exports and value of imports. If value of exports exceeds the value of imports, a trade surplus exists, if value of exports is less than value of imports, a trade deficit exists, if export and import values are equal, we refer to this situation as a trade balance.

Balance of payments takes into account value, of all international transactions. Thus balance of payments identifies not only goods and services transactions among nations but also investments and gifts. When value of all these transactions is such that one nation is sending more to other nations that it is receiving in return, a balance of payments deficit exists. When value of all these transactions is such that one nation is receiving more from other nations that it is giving in return, a balance of payments surplus exists.

THE SIGNIFICANCE OF ZAKAT

It is great pillar of Islam. It has great importance in out life. The importance of Zakat will be cleared from the following discussion.

1. Test Of Faithfulness:
It has a religious sanctity behind it. One who help the needy person from God's given wealth; it is his test of faithfulness.

CHAPTER 4 – INTERNATIONAL TRADE

2. Obligatory On Ummahs Of All Prophets:

Zakat is a compulsory payment which was paid by the ummhas of all the Prophphet Salah and Zakat are two great pillars of Islam. Those whi discard these pillars are false in their claim of Muslims.

3. Sign Of Believers:

It never happened that any ummah believing in God was exempted from the obligation of Zakat.

4. Co-Operation:

Zakat is paid to the needy, poor and deserver. The revenue collected from Zakat is spent for the weklafre of the needy person.

5. Eradication Of Social Evils:

The poor commit crimes like theft; Dacoit etc, due to low economic position. These social evils are eliminated to help the needy person.

6. Circulation Of Wealth:

Zakat is an uncompromising enemy of hoarding. A Mulsim has to pay Zakat on the headed money due to the fear of God. In this way the amount f money remains in circulation in the market.

INFLATION

Inflation is a rise in the general price level and is reported in rates of change. Essentially what this means is that the value of your money is going down and it takes more money to buy things.

Causes Of Inflation:

1. Demand Pull Inflation:

When aggregate demand persistently exceeds the aggregate supply of goods at current prices, it leads to increase in general price level.

2. Cost Push Inflation:

When cost of production increases, price of goods and services also increases. Increase in cost of production may be due to increase in wages, taxes, interest rate, expensive imported and local raw material etc.

3. High Monetary Expansion:

The supply of money is expanding quickly every year but the supply of goods and services is not increasing according to that rates. Due to this process are rising.

4. Increase In Wages:

The rise in wages, pension and salaries have increased the purchasing power of the people. Wages and prices chase each other.

5. Increase In Population:

The rate of population growth in Pakistan is more than 3%. Due to this aggregate demand is increasing day by day.

6. Deficit Financing:

Means printing of currency notes by the Government, in order to covert the defect in the budged. It will create inflationary pressure.

7. Foreign Remittances:

The increased remittances by the people working outside the country, purchasing power of their families are increased day by day. So the demand is increased.

8. Natural Calamities:

Due to floods, excessive rains and earthquake the level of production is decreased increase in demand and hence, the prices of goods is increase.